

Notes: Bae, Stulz & Tan (JFE, 2008)
**Do Local Analysts Know More? A Cross-Country Study of the Performance of
Local Analysts and Foreign Analysts**

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1 Big picture

- **Question.** Does geographic distance reduce the quality of information that analysts have about firms? More specifically, are analysts located in the same country as a firm more accurate than analysts located outside that country?
- **Core empirical object.** The paper compares local analysts and foreign analysts who forecast earnings for the same non-U.S. firms across 32 countries during 2001–2003.
- **Main concept.** The authors define a *local analyst advantage*: the forecasting precision advantage of analysts resident in the same country as the firm they cover relative to analysts resident elsewhere.
- **Primary result.** Local analysts make more precise earnings forecasts than foreign analysts, and the advantage is economically and statistically significant.
- **Identification intuition.** If location matters, the same analyst should be more accurate for local stocks than for foreign stocks, and the advantage should be weaker when firms disclose more information or when firms have international activities.
- **Mechanism evidence.** The local advantage is lower for transparent firms, firms with ADRs or foreign assets, countries with stronger accounting disclosure, countries with more institutional investors, and countries in which firm-specific information is better incorporated into stock prices.
- **Home bias connection.** The local analyst advantage is stronger in countries more underweighted by U.S. investors, suggesting that local information advantages help explain international home bias.
- **Economic takeaway.** Distance and local information environments still matter in global capital markets. Financial globalization does not completely eliminate local information advantages.

2 Incremental contribution of the paper

- **From investor performance to analyst information.** Prior home-bias research often studies portfolio holdings or trading outcomes. This paper studies analysts' forecast precision directly, giving a cleaner view of information quality rather than investor portfolio performance.
- **Cross-country analyst location evidence.** The paper extends Malloy-style local analyst analysis beyond the United States to a large international sample of 32 countries.
- **Distinguishes analyst location from brokerage nationality.** The authors classify local analysts into pure local analysts and expatriate analysts, allowing them to test whether the advantage comes from physical location rather than simply domestic brokerage affiliation.
- **Controls for analyst ability.** The paper uses analyst fixed effects and analyst switchers. The same analyst performs better when local, which is difficult to explain with permanent analyst skill differences.
- **Links local advantage to disclosure environment.** The paper shows that better firm and country disclosure narrows the local advantage, providing mechanism evidence that local analysts benefit from private or informal information.
- **Connects analyst information to home bias.** The paper links the local analyst advantage to U.S. investors' underweighting of foreign markets, bridging analyst-forecast research and international portfolio choice.
- **Separates supply-side information from demand-side analyst services.** The authors investigate whether the local advantage is driven by weaker foreign demand for analyst services and find the evidence more consistent with location-induced information asymmetry.
- **Methodological contribution.** The paper develops multiple forecast-accuracy measures, uses firm-year demeaning, firm-level clustering, fixed effects, matched forecasts, subsamples, and robustness tests to triangulate the local advantage.

3 Data and measurement

3.1 Sample construction

- The sample begins with non-U.S. firms covered by Standard & Poor’s Transparency and Disclosure dataset.
- Earnings forecasts and actual annual EPS come from I/B/E/S International Detail files.
- Analyst locations come from Nelson’s Directories of Investment Research.
- The main sample covers 2001–2003 because the S&P transparency data are measured around 2002.
- The final sample contains 611 firms from 32 countries, 1,020 pure local analysts, 1,563 expatriate analysts, and 1,920 foreign analysts.

Interpretation: The sample focuses on large, internationally visible firms. This likely understates the local advantage, because foreign analysts are less likely to cover the firms for which local information is most valuable.

3.2 Local, expatriate, and foreign analysts

- A **local analyst** is located in the same country as the covered firm.
- A **foreign analyst** is located in a different country from the covered firm.
- A **pure local analyst** is local and works for a local brokerage/research firm.
- An **expatriate analyst** is local but works for a foreign brokerage/research firm.

Interpretation: This classification lets the paper separate physical proximity from domestic-brokerage relationships and international research-firm resources.

3.3 Forecast accuracy measures

The main measure is proportional mean absolute forecast error. For analyst i , firm j , forecast time t , and fiscal year T :

$$Pmafe_{ijt} = \frac{AFE_{ijt} - avgAFE_{jT}}{avgAFE_{jT}}.$$

The authors multiply accuracy measures by minus one so that larger values mean more accurate forecasts.

Other robustness measures include price-scaled absolute forecast errors, de-meanned absolute forecast errors, and range-based measures.

Interpretation: Scaling by the firm-year average forecast error makes analyst accuracy comparable across firms with different levels of forecasting difficulty.

3.4 Information-environment variables

- Firm-level transparency and disclosure comes from Standard & Poor’s Transparency and Disclosure score.
- ADR status and foreign-assets status capture international information exposure.
- Country-level disclosure and accounting transparency are proxied by CIFAR and earnings management measures.
- Morck et al. R^2 measures how much stock returns move with the market; high R^2 implies less firm-specific information in prices.

Interpretation: If local analysts exploit informal or private information, the local advantage should be larger when public information is poor.

4 Models and empirical specifications

4.1 Baseline local advantage regression

$$Accuracy_{ijtf} = \alpha + \beta Local_{ijt} + \gamma X_{ijtf} + \varepsilon_{ijtf}.$$

- *Accuracy* is a signed forecast accuracy measure, with larger values indicating more precision.
- *Local* equals one if analyst i is located in the same country as firm j at forecast date t .
- X includes brokerage size, forecast horizon, number of industries covered, analyst experience, firm-specific experience, and firm size.

Interpretation: The coefficient β is the local analyst advantage. A positive β means local analysts are more accurate than foreign analysts after controls.

4.2 Pure-local and expatriate decomposition

$$Accuracy = \alpha + \beta_1 PureLocal + \beta_2 Expatriate + \gamma X + \varepsilon.$$

Interpretation: If the advantage is location rather than domestic brokerage affiliation, pure local and expatriate analysts should both outperform foreign analysts.

4.3 Fixed-effects and switcher tests

$$Accuracy_{ijtf} = \alpha_i + \beta Local_{ijt} + \gamma X_{ijtf} + \varepsilon_{ijtf}.$$

Interpretation: Analyst fixed effects compare the same analyst across local and foreign stocks. Switcher tests compare analysts who move from foreign to local or local to foreign status.

4.4 Firm-level information environment interactions

$$Accuracy = \alpha + \beta Local + \delta Info + \lambda(Local \times Info) + \gamma X + \varepsilon.$$

Interpretation: If better disclosure levels the playing field, the interaction coefficient λ should be negative when *Info* means better information environment.

4.5 Country-characteristic and home-bias regressions

$$Accuracy = \alpha + \beta Local + \delta CountryChar + \lambda(Local \times CountryChar) + \gamma X + \varepsilon.$$

Interpretation: Country interactions test whether the local advantage is larger in countries with weaker disclosure, more insider control, less institutional ownership, and greater U.S. portfolio underweighting.

5 Identification and empirical design

- **Firm-year matching.** Main comparisons are within a firm-year, so local and foreign analysts forecast the same firm for the same fiscal year.
- **Forecast controls.** Forecast horizon is controlled because stale forecasts are mechanically less accurate.
- **Analyst controls.** Brokerage size, experience, portfolio complexity, and number of industries/countries covered address analyst-skill and resource explanations.
- **Analyst fixed effects.** The same analyst is more accurate for local stocks than foreign stocks, helping rule out permanent analyst quality differences.
- **Brokerage affiliation check.** Pure local and expatriate analysts both show a local advantage, reducing the concern that the result is only about domestic brokerage relationships.
- **Information-environment tests.** The local advantage is weaker when firms or countries disclose more and stronger when public information is weaker.
- **Home-bias tests.** The local advantage is stronger in countries underweighted by U.S. investors, connecting information asymmetry to portfolio home bias.

Interpretation: The design is not random assignment of analysts to locations. Its strength is triangulation: fixed effects, switchers, disclosure interactions, and home-bias relations all point to location-based information advantages.

6 Section-by-section study guide

- **Introduction.** Frames the local analyst advantage as a direct test of whether distance impairs information quality in global markets.
- **Literature review.** Connects home bias, distance-based investing, and analyst geography literatures.
- **Sample.** Explains the S&P TD, I/B/E/S, and Nelson data intersection and defines local, pure local, expatriate, and foreign analysts.
- **Accuracy measures.** Defines forecast error metrics and presents univariate accuracy comparisons.
- **Local advantage regressions.** Establishes the robust local advantage after analyst and firm controls.
- **Information environment.** Shows that the local advantage is stronger where disclosure is worse and firm-specific information is less public.
- **Home bias.** Links the local advantage to U.S. investors' underweighting of countries.
- **Robustness.** Shows the local advantage holds across accuracy measures, samples, and control sets.

7 Tables

7.1 Table 1: Distribution of sample firms and analysts by country and analyst group

Read:

- The final sample includes 611 firms across 32 countries.
- The sample includes 1,920 foreign analysts, 1,020 pure local analysts, and 1,563 expatriate analysts.
- Analyst coverage varies widely across countries: the U.K., France, Germany, Switzerland, Italy, and Japan have large analyst counts.
- The foreign-analyst ratio varies from 0.12 in Japan to 0.91 in China.

Detailed interpretation: The table establishes that the sample has substantial cross-country variation in analyst presence. Many countries have more foreign than local analysts, which is useful for within-firm comparisons but also shows that global analyst coverage is highly uneven.

Economic message: Local information advantages are studied in a setting where foreign analysts are active, so the result is not simply caused by no foreign coverage.

Table 1
Distribution of sample firms and analysts by country and analyst group

The table shows the number of firms and the number of pure local, expatriate, and foreign analysts in each country. The sample firms are the intersection of I/B/E/S for non-U.S. firms, Nelson's Directories of Investment Research, and Standard & Poor's Transparency and Disclosure database. The final sample contains 1,020 pure local, 1,563 expatriate, and 1,920 foreign analysts covering 611 firms from 32 countries over the period 2001–2003. Local analysts are analysts located in the same country as their covered firms, while foreign analysts are located in a different country from the firms they cover. Local analysts are further classified into pure local and expatriate analysts. Pure local analysts work for local research firms, while expatriate analysts work for research firms from foreign countries. The number of analysts across countries does not add up to the total number since an analyst (particularly a foreign analyst) can analyze firms in different countries. Similarly, the number of local and foreign analysts does not add up to the total number of distinct analysts since an analyst can switch brokerage firms across borders.

Country	No. of firms	Number of analysts				A/C
		Foreign (A)	Local analysts (B)		Total number of distinct analysts (C)	
			Pure local	Expatriate		
Argentina	7	25	2	2	29	0.86
Australia	16	27	20	77	123	0.22
Austria	2	24	2	1	27	0.89
Belgium	6	70	13	9	92	0.76
Brazil	23	85	16	27	126	0.66
Chile	7	25	1	3	29	0.86
China	9	67	0	7	74	0.91
Denmark	6	99	7	26	132	0.75
Finland	4	80	10	10	100	0.80
France	47	526	153	130	806	0.65
Germany	31	454	94	64	611	0.74
Hong Kong	17	26	37	141	202	0.13
India	17	25	10	53	86	0.29
Indonesia	11	23	0	19	42	0.55
Ireland	3	43	8	1	51	0.84
Italy	26	250	32	56	335	0.75
Japan	61	18	25	108	146	0.12
Korea	13	13	7	27	47	0.28
Malaysia	23	63	27	53	140	0.45
Mexico	14	72	7	11	90	0.80
Netherlands	23	405	69	32	503	0.80
Norway	4	32	5	23	60	0.53
Philippines	8	34	0	26	60	0.57
Portugal	7	87	16	2	105	0.83
Singapore	9	40	28	55	123	0.33
South Africa	3	11	1	16	28	0.39
Spain	17	208	8	56	271	0.77
Sweden	18	217	47	39	298	0.73
Switzerland	17	300	61	11	372	0.81
Taiwan	25	48	4	62	113	0.42
Thailand	19	41	5	33	77	0.53
U.K.	118	291	305	385	950	0.30
Total	611	1,920	1,020	1,563	3,482	

Table 1: Distribution of sample firms and analysts.

7.2 Table 2: Description of variables

Read:

- Table 2 defines the dependent accuracy measures, analyst-level variables, firm variables, country variables, and foreign-investor variables.
- The main dependent variable is proportional mean absolute forecast error, multiplied by minus one so higher values mean higher accuracy.
- The table defines local, pure local, expatriate, regional foreign, forecast horizon, brokerage size, analyst experience, transparency, ADR, foreign assets, and home-bias variables.

Detailed interpretation: This table is the dictionary for the paper. It matters because many variables are interaction dummies, and the interpretation of interaction coefficients depends on whether a value of one means better disclosure, greater openness, or stronger home bias.

Economic message: Clear variable construction is essential because the paper's main evidence comes from interactions between local status and information-environment variables.

Table 2
Description of variables
The table describes the variable definitions.

A. Dependent variables	
$Pmafe_{it}$	Proportional Mean Absolute Forecast Error is defined as the ratio of the difference between the absolute forecast error (AFE_{it}) by analyst i for firm j at time t and the mean absolute forecast error ($avgAFE_{jt}$) of all of the forecasts for firm j for fiscal year T , to the mean absolute forecast error $avgAFE_{jt}$, i.e., $pmafe_{it} = (AFE_{it} - avgAFE_{jt}) / avgAFE_{jt}$. A positive $pmafe_{it}$ indicates that the absolute forecast error AFE_{it} by analyst i for firm j at time t is larger than the average absolute forecast error of all of the forecasts for firm j for the same fiscal year T . To facilitate interpretation we multiply this variable by minus one.
$Pmafe_{pit}$	Proportional Mean Price-scaled Absolute Forecast Error is similar to $pmafe_{it}$ except that AFE_{it} is scaled by the latest available monthly stock price from Compustat, i.e., $pmafe_{pit} = (AFE_{it} - avgAFE_{jt}) / avgAFE_{jt}$. To facilitate interpretation we multiply this variable by minus one.
$Dafe_{it}$	De-measured Absolute Forecast Error scaled by the most recent stock price in the previous fiscal year. The price-scaled absolute forecast error APE_{it} of analyst i for firm j at time t is computed as the price-scaled absolute difference between an earnings forecast and the actual disclosed earnings. To facilitate interpretation we multiply this variable by minus one.
$Range_{it}$	$Range_{it}$ is the ratio of the difference between the maximum afe_{pit} for firm j , fiscal year T and a particular afe_{pit} to the range of afe_{pit} for firm j and fiscal year T .
B. Independent variables (firm- or analyst-level)	
Local _{it}	Dummy variable that equals one if analyst i is located in the same country as the covered firm j at time t , and zero otherwise.
Pure local _{it}	Dummy variable that equals one if analyst i is located in the same country as the covered firm j at time t and works for a local research firm, and zero otherwise.
Expatriate _{it}	Dummy variable that equals one if analyst i is located in the same country as the covered firm j at time t and work, for a research firm from a foreign country, and zero otherwise.
Regional foreign _{it}	Dummy variable that equals one if foreign analyst i is located in the same region as the covered firm j at time t and works for a research firm from a foreign country, and zero otherwise.
Horizon _{it}	Forecast age in years between the forecast date t and the corresponding I/B/E/S report date of the actual earnings, i denotes analysts and j denotes firms.
Firmexp _{it}	Analyst firm-specific experience, defined as the time interval in years between analyst i 's first forecast for a particular firm j and his forecast at time t for firm j .
Genexp _{it}	Analyst general experience, defined as the time interval in years between analyst i 's first forecast in the I/B/E/S database and the current forecast at time t .
MV_Y	Market capitalization in U.S. million dollars for firm j in year Y .
Firm size _{it}	Log of market capitalization in U.S. million dollars for firm j in calendar year Y .
Brsiz _{it}	Brokerage size, defined as the number of analysts working for the I/B/E/S brokerage firm that analyst i is associated with in year Y .
Ind _{it}	Number of I/B/E/S industries analyst i covers in year Y .
Nctry _{it}	Number of countries analyst i covers in year Y .
Ntk _{it}	Number of firms analyst i covers in year Y .
Nfst _{it}	Number of forecasts analyst i provides in year Y for all of the firms he or she covers.
Tdiscv _{it}	Transparency dummy equal to one if the overall score in Standard & Poor's Transparency and Disclosure dataset for firm j is above the median score for all of the covered firms in the final sample, and zero otherwise.
Adr _{it}	Dummy variable indicating whether firm j has an ADR program in place at time t . The ADR information is from the website of the Bank of New York.
Dummy for analyst following _{it}	Dummy variable that equals one if the number of analyst following a firm j in year Y in each country is above the median number of analyst following in year Y in each country, and zero otherwise.
Dummy for foreign assets _{it}	Dummy variable that equals one if the disclosed foreign assets for firm j in year Y are positive, and zero otherwise. The data are obtained from Worldscope.
Foreign to local _{it}	Dummy equal to one if analyst i covers the same firm j but changes from being a foreign to a local analyst during our sample period, and zero otherwise.
Local to foreign _{it}	Dummy equal to one if analyst i covers the same firm j but changes from being a local to a foreign analyst during our sample period, and zero otherwise.
C. Independent variables (country-level)	
English language _{it}	Dummy variable equal to one if English is an official language for country i , the domicile country of the covered firm, and zero otherwise. The original source is the CIA World Factbook and the website of http://www.cepii.fr/anglaisgraph/bdd/distances.htm
GDP per capita _{it}	Dummy variable equal to one if the GDP of country i is above the median of the countries in the final sample, and zero otherwise. The data are from the World Development Indicators 2003.

Table 2, part 1.

Table 2 (continued)	
Developed market _{it}	Dummy variable equal to one if country i is a developed country, and zero otherwise. The data are from Standard and Poor's Global Stock Markets Factbooks, 2004.
Equity market _{it}	Dummy variable equal to one if the index of the equity market importance in country i is above the median of the countries in the final sample, and zero otherwise. The raw data are from Leuz, Nanda, and Wysocki (2003).
State ownership _{it}	Dummy variable equal to one if the state ownership of banking for country i is above the median of the countries in the final sample, and zero otherwise. The data are from Barth, Caprio, and Levine (2004).
Foreign bank ownership _{it}	Dummy variable equal to one if the foreign ownership of banking for country i is above the median of the countries in the final sample, and zero otherwise. The data are from Barth, Caprio, and Levine (2004).
Ownership concentration _{it}	Dummy variable equal to one if the average ownership of the three largest shareholders for the ten largest non-financial domestic private firms in country i is above the median of the countries in the final sample, and zero otherwise. The data are from La Porta et al. (1998).
Pooled investment _{it}	Dummy variable equal to one if the average of total assets of pooled investment schemes to GDP between 1993 and 1995 for country i is above the median of the countries in the final sample, and zero otherwise. The data are from Beck, Demirguc-Kunt, and Levine (1999).
Legal origin _{it}	Dummy variable equal to zero if the legal origin of country i is common law, and one otherwise. The raw data are from La Porta et al. (1998).
Anti-director rights _{it}	Dummy variable equal to one if the anti-director index for country i is equal to or greater than 4 according to Djankov, La Porta, Lopez-de-Silanes, and Shleifer (2005), and zero otherwise. The raw anti-director index ranges from 0 to 5, with higher scores for stronger rights.
Property rights _{it}	Dummy variable equal to one if the property rights index for country i is above the median of the countries in the final sample, and zero otherwise. The raw data are from La Porta et al. (2006).
Public enforcement _{it}	Dummy variable equal to one if the index of public enforcement for country i is above the median of the countries in the final sample, and zero otherwise. The index equals the arithmetic mean of: (1) Supervisor characteristics index; (2) Investigative powers index; (3) Orders index; and (4) Criminal index. The data are from La Porta et al. (2006).
Class action _{it}	Dummy variable equal to one if class action lawsuits are available in a prospectus liability case in country i . The data are from La Porta et al. (2006).
Insider trading enforcement _{it}	Dummy variable indicating whether covered firm j is from a country with insider trading law enforcement according to the data source from Bushman, Piotroski, and Smith (2005).
Earnings management _{it}	Dummy variable equal to one if the index of earnings management for country i is above the median of the countries in the final sample, and zero otherwise. The data are from Leuz, Nanda, and Wysocki (2003).
CIFAR _{it}	Dummy variable equal to one if the index of financial disclosure for country i is above the median of the countries in the final sample, and zero otherwise. The data are from Bushman, Piotroski, and Smith (2004).
R^2_Morck	Dummy variable equal to one if the average of the R^2 s estimated from the market model for country i is above the median of the countries in the final sample, and zero otherwise. The data are from Morck, Yeung, and Yu (2000).
U.S. holdings _{it}	Dummy variable equal to one if U.S. investors' overseas holding of equity and debt in country i scaled by local market GDP is above the median of the countries in the final sample, and zero otherwise. The data are from the U.S. Treasury Department.
U.S. flows _{it}	Dummy variable equal to one if the U.S. investors' overseas equity and debt flow in country i scaled by local market GDP is above the median of the countries in the final sample, and zero otherwise. The data are from the U.S. Treasury Department.
U.S. equity _{it}	The fraction of the local equity market capitalization held by U.S. investors.
U.S. portfolio _{it}	The share of country i 's equities in the portfolio of U.S. investors.
WORLD RATIO _{it}	The share of country i 's market capitalization in the world market portfolio.
DIFF _{it}	The difference between country i 's share in the world market portfolio and the country's share in the portfolio of U.S. investors.
Openness level _{it}	Ratio of the market capitalization of the constituent firms comprising the IFC Investable index to those that comprise the IFC Global index for country i . The data are from Bekaert, Harvey, and Lundblad (2005).
Openness dummy _{it}	Dummy variable equal to one if country i 's openness level is greater than the median of the sample countries, and zero otherwise.
Foreign analyst ratio _{it}	Dummy variable equal to one if the ratio of the number of foreign analysts to the total number of analysts in country i is greater than the median of the sample countries, and zero otherwise. The data are based on Table 1.

Table 2, part 2.

7.3 Table 3: Summary statistics by analyst groups

Read:

- Local analysts are more accurate than foreign analysts across the main forecast-error measures.
- The difference between pure local and expatriate analysts is generally small.

- Local analysts have more firm-specific experience, while foreign analysts tend to work for larger brokerages and cover more countries/industries.
- Forecast horizons are similar across analyst groups.

Detailed interpretation: Table 3 provides the raw local advantage but also shows why controls are necessary. Local and foreign analysts differ in experience, employer size, and coverage scope. Later regressions address these differences.

Economic message: The univariate evidence is consistent with a local advantage, but the paper's contribution is showing that it survives controls and fixed effects.

Table 3
Summary statistics by analysts groups
The table shows summary statistics of the main variables used in the analysis. The sample firms are the intersection of I/B/E/S for non-U.S. firms, Nelson's Directories of Investment Research, and Standard & Poor's Transparency and Disclosure database. The final sample contains 1,020 pure local, 1,563 expatriate, and 1,920 foreign analysts covering 611 firms from 32 countries over the period 2001 to 2003. Local analysts are analysts located in the same country as the firms they cover, while foreign analysts are located in a different country from the firms they cover. Local analysts are further classified into pure local and expatriate analysts. Pure local analysts work for local research firms, while expatriate analysts work for research firms from foreign countries. The summary statistics of forecast-related variables are computed by partitioning each earning forecast (and its related variables) into one of the three different groups depending on the analyst identity. The summary statistics of analyst-related variables are computed as follows. The average value of an analyst-related variable is computed for each analyst in each of the three different analyst groups. The mean and median are then computed across analysts for each analyst group. To facilitate interpretation, we multiply the forecast variables by minus one, so that higher values of the dependent variable imply more accurate forecasts. All variables are as defined in Table 2. Numbers in parentheses are p -values.

Variable	Pure local (A)		Expatriate (B)		Foreign (C)		A-B		B-C		A-C	
	Mean	Median	Mean	Median	Mean	Median	Mean <i>t</i> -test	Wilcoxon Median test	Mean <i>t</i> -test	Wilcoxon Median test	Mean <i>t</i> -test	Wilcoxon Median test
<i>Panel A: Forecast-related variables</i>												
Pmafe	0.023	0.168	0.045	0.156	-0.042	0.153	(0.16)	(0.91)	(0.00)	(0.00)	(0.00)	(0.00)
Pmafe	0.024	0.141	0.049	0.155	-0.045	0.146	(0.10)	(0.64)	(0.00)	(0.00)	(0.00)	(0.01)
Dafe	0.001	0.001	0.000	0.001	-0.001	0.001	(0.68)	(0.22)	(0.01)	(0.36)	(0.01)	(0.04)
Range	0.638	0.736	0.634	0.728	0.639	0.735	(0.51)	(0.56)	(0.31)	(0.95)	(0.84)	(0.52)
Firmexp	2.077	1.315	1.968	1.422	1.595	1.005	(0.01)	(0.80)	(0.00)	(0.00)	(0.00)	(0.00)
Genexp	3.386	2.704	3.288	2.753	3.648	2.778	(0.06)	(0.47)	(0.00)	(0.00)	(0.00)	(0.00)
Horizon	0.406	0.321	0.408	0.321	0.411	0.321	(0.77)	(0.50)	(0.50)	(0.20)	(0.36)	(0.66)
No. of obs.	4,412		6,536		9,477							
<i>Panel B: Analyst-related variables</i>												
Mv	17,723	8,681	16,082	7,145	18,243	9,993	(0.15)	(0.00)	(0.02)	(0.00)	(0.57)	(0.05)
Bsize	90,439	37,857	133,795	109,000	137,234	124,000	(0.00)	(0.00)	(0.32)	(0.14)	(0.00)	(0.00)
Ind	4.028	3.000	4.022	3.000	4.377	3.750	(0.96)	(0.48)	(0.00)	(0.00)	(0.00)	(0.00)
Ncry	2.020	1.000	2.241	1.683	3.225	3.000	(0.00)	(0.00)	(0.00)	(0.00)	(0.00)	(0.00)
Nik	9.784	8.250	8.995	8.000	8.375	7.528	(0.00)	(0.09)	(0.00)	(0.00)	(0.00)	(0.00)
Nlist	20,913	18,000	24,541	21,688	22,823	19,000	(0.00)	(0.00)	(0.02)	(0.00)	(0.00)	(0.00)
No. of obs.	1,020		1,563		1,920							

Table 3: Summary statistics by analyst groups.

Table 4
Forecast accuracy and local analyst advantage
This table presents ordinary least squares regression estimates of forecast accuracy on a local analyst dummy and on analyst, forecast, and firm characteristics. The dependent variable ($Pmafe_{it}$) is computed as $Pmafe_{it} = (AFEP_{it} - \text{avg}AFEP_{it}) / \text{avg}AFEP_{it}$ where $AFEP_{it}$ is the absolute forecast error by analyst i for firm j at time t scaled by the latest available monthly stock price and $\text{avg}AFEP_{it}$ is the mean absolute forecast error of all of the forecasts for firm j for fiscal year T . To facilitate interpretation, we multiply this variable by minus one, so that higher values of the dependent variable imply more accurate forecasts. All variables are defined in Table 2. Independent variables are de-meaned by the firm/year averages to reduce heteroskedasticity. T -statistics in parentheses are adjusted for firm-level clustering with the exception of model (5). Model (4) is based on the matched sample where each foreign forecast for a firm is matched to the local forecast for the same fiscal year that immediately precedes it in time, so that the forecast horizon of local forecasts is longer than that of foreign forecasts. Model (5) is estimated with firm fixed effects. Model (8) is estimated with analyst fixed effects. Model (9) estimates the performance of analysts who change status by becoming local analysts, while model (10) estimates the performance of analysts who change status by becoming foreign analysts during our sample period.

Variables	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)	(10)
<i>Dummy for local analysts</i>	0.051 (4.63)	0.047 (4.32)	0.069 (3.94)	0.063 (5.04)	0.090 (3.63)			0.047 (3.96)	0.045 (4.10)	0.045 (4.12)
<i>Dummy for regional foreign analysts</i>					0.050 (1.94)					
<i>Dummy for pure local analysts</i>						0.048 (3.15)				
<i>Dummy for Expatriate analysts</i>						0.047 (3.86)				
<i>Foreign to local</i>								0.146 (2.24)		
<i>Local to foreign</i>									0.014 (0.19)	
Broker size	0.002 (0.36)	0.006 (1.06)	0.007 (1.29)	-0.009 (-1.05)	0.008 (1.50)	0.006 (1.15)	0.007 (1.29)	0.006 (1.23)	0.007 (1.32)	0.007 (1.29)
Forecast horizon	-0.573 (-15.64)	-0.570 (-15.57)	-0.572 (-15.62)	-0.723 (-30.05)	-0.593 (-15.62)	-0.572 (-15.63)	-0.572 (-22.95)	-0.571 (-15.65)	-0.572 (-15.65)	-0.572 (-15.65)
Number of industries covered	-0.002 (-0.80)	-0.000 (-0.18)	0.000 (0.11)	-0.001 (-0.21)	0.001 (0.28)	0.000 (0.11)	0.000 (0.08)	0.000 (0.04)	0.000 (0.04)	0.000 (0.04)
Firm-specific experience		0.007 (1.98)	0.007 (1.09)	0.006 (1.89)	0.006 (2.09)	0.007 (1.97)	0.007 (1.89)	0.007 (1.98)	0.007 (1.98)	0.007 (1.96)
Career experience		-0.009 (-0.01)	-0.009 (-0.01)	-0.009 (-0.01)	-0.009 (-0.01)	-0.009 (-0.01)	-0.009 (-0.01)	-0.009 (-0.01)	-0.009 (-0.01)	-0.009 (-0.01)
Firm size	0.012 (4.05)	0.015 (4.55)	0.014 (4.51)	-0.005 (0.78)	0.017 (9.49)	0.014 (4.52)	0.014 (4.44)	0.014 (3.21)	0.014 (4.39)	0.014 (4.39)
Constant	-0.070 (-2.64)	-0.118 (-3.92)	-0.114 (-3.82)	-0.036 (-0.61)	-1.535 (-9.45)	-0.157 (-4.46)	-0.114 (-3.77)	-0.114 (-2.75)	-0.110 (-3.64)	-0.109 (-3.63)
Number of observations	20,221	20,221	20,221	8,313	20,221	20,221	20,221	20,221	20,221	20,221
Adjusted R^2	0.042	0.043	0.043	0.055	0.019	0.044	0.043	0.041	0.042	0.042
Test: pure local = expatriate							0.00			
F -statistic (p -value)							(0.96)			

Table 4: Forecast accuracy and local analyst advantage.

7.4 Table 4: Forecast accuracy and local analyst advantage

Read:

- The local dummy is positive and significant across the main specifications.
- The base local advantage is around 0.05 in the main specifications.
- Forecast horizon is strongly negative, confirming stale forecasts are less accurate.
- Analyst fixed effects and firm fixed effects do not eliminate the local advantage.
- Foreign-to-local switchers experience increased precision; local-to-foreign switchers do not show a symmetric loss.

Detailed interpretation: Table 4 is the core identification table. The local coefficient survives controlling for analyst characteristics, forecast characteristics, firm size, firm fixed effects, and analyst fixed effects. This makes it difficult to attribute the result only to better analysts being local.

Economic message: Location itself seems to matter for forecast precision, not merely analyst talent or brokerage resources.

7.5 Table 5: Forecast accuracy for subsamples partitioned by forecast horizon, fiscal year, and country

Read:

- The local advantage is significant both for shorter-horizon and longer-horizon forecast groups.
- The local advantage is significant by year, with stronger evidence in 2001 and 2002 and weaker but still positive evidence in 2003.
- Country estimates are positive in most countries and significantly positive in ten countries at the 10 percent level or better.
- There is no country where the local advantage is significantly negative.

Detailed interpretation: Table 5 shows that the local advantage is not confined to one year, one forecast horizon, or one country. The country panel also reveals substantial heterogeneity, which motivates the cross-country interaction tests in Tables 7 and 8.

Economic message: Location matters broadly, but the strength of location-based information varies with country information environments.

Table 5

Forecast accuracy for subsamples partitioned by forecast horizon, fiscal year, and country

This table presents ordinary least squares regression estimates of forecast accuracy on a local analyst dummy and on analyst, forecast, and firm characteristics for the subsamples partitioned by forecast horizon, by year, and by country. Horizon zero refers to forecasts provided within 180 days after the fiscal year end but at least five days before the reporting dates of actual earnings according to I/B/E/S. Horizon one refers to forecasts provided within one year before the fiscal year-end. The dependent variable ($Pmafe_p$) is computed as $Pmafe_{pjt} = (AFEP_{pjt} - \text{avg}AFEP_{jT}) / \text{avg}AFEP_{jT}$ where $AFEP_{pjt}$ is the absolute forecast error by analyst i for firm j at time t scaled by the latest available monthly stock price and $\text{avg}AFEP_{jT}$ is the mean absolute forecast error of all of the forecasts for firm j for fiscal year T . To facilitate interpretation, we multiply this variable by minus one, so that higher values of the dependent variable imply more accurate forecasts. All variables are defined in Table 2. Independent variables are de-meanned by the firm/year averages to reduce heteroskedasticity. t -statistics adjusted for firm-level clustering are in parentheses.

Variables	Horizon		Year		
	0	1	2001	2002	2003
<i>Dummy for local analysts</i>	0.074 (2.85)	0.040 (3.16)	0.067 (3.58)	0.037 (2.01)	0.036 (1.89)
Broker size	-0.004 (-0.34)	0.010 (1.52)	0.002 (0.21)	0.009 (0.90)	0.010 (1.04)
Forecast horizon	-0.429 (-3.33)	-0.675 (-17.34)	-0.751 (-12.77)	-0.487 (-8.57)	-0.472 (-8.06)
Number of industries covered	-0.003 (-0.60)	0.001 (0.25)	0.001 (0.47)	0.003 (0.88)	-0.004 (-1.16)
Firm-specific experience	0.010 (1.39)	0.006 (1.51)	0.015 (2.39)	0.005 (0.76)	0.005 (0.77)
Career experience	-0.009 (-2.10)	-0.009 (-3.36)	-0.012 (-2.63)	-0.009 (-1.82)	-0.009 (-2.40)
Firm size	0.007 (0.55)	0.017 (4.49)	0.015 (3.69)	0.024 (4.01)	0.005 (1.14)
Constant	-0.096 (-0.79)	-0.106 (-3.03)	-0.128 (-3.29)	-0.187 (-3.47)	-0.031 (-0.68)
Number of observations	4,528	15,693	6,598	6,507	7,116
Adjusted R^2	0.006	0.056	0.075	0.034	0.026
By country					
Country	Coef. for local	t -statistic	No. of Obs.	Adjusted R^2	
Argentina	0.662	2.25	48	0.102	
Australia	-0.092	-0.76	265	0.036	
Austria	-0.334	-0.66	44	0.083	
Belgium	0.341	2.70	201	0.051	
Brazil	0.074	0.97	471	0.051	
Chile	0.056	0.24	52	0.139	
China	0.346	1.89	208	0.040	
Denmark	0.393	2.55	244	0.009	
Finland	-0.078	-0.50	184	-0.001	
France	0.026	0.78	2,569	0.027	
Germany	0.094	2.09	1,794	0.046	
Hong Kong	-0.029	-0.31	558	0.130	
India	0.306	3.39	287	0.057	
Indonesia	0.390	3.13	159	0.158	
Ireland	0.145	0.65	152	-0.011	
Italy	0.068	1.40	1,091	0.034	
Japan	0.196	3.00	834	0.141	
Korea	0.241	1.86	103	0.222	
Malaysia	0.027	0.44	614	0.159	
Mexico	-0.159	-1.58	267	0.026	
Netherlands	0.031	0.61	1,335	0.063	
Norway	-0.314	-1.25	103	0.045	
Philippines	0.120	0.82	131	0.068	
Portugal	0.119	0.69	187	0.042	

Table 5, part 1.

Table 5 (continued)

By country				
Country	Coef. for local	t -statistic	No. of Obs.	Adjusted R^2
Singapore	0.164	1.76	316	0.080
South Africa	0.301	1.55	39	-0.016
Spain	0.054	0.84	773	0.028
Sweden	0.082	1.25	857	0.029
Switzerland	0.073	1.07	952	0.050
Taiwan	0.060	0.82	480	0.316
Thailand	0.036	0.43	362	0.190
U.K.	0.017	0.65	4,521	0.013

Table 5, part 2.

7.6 Table 6: Local analyst advantage and firm-level information environment

Read:

- The local advantage is lower for firms with above-median S&P transparency and disclosure scores.
- The local advantage is lower for firms with ADR programs.
- The local advantage is not meaningfully related to the number of analysts following the firm.
- The local advantage is lower for firms reporting foreign assets.

Detailed interpretation: Table 6 is the main firm-level mechanism table. Better disclosure and international operations reduce the value of being local. This is exactly what one would expect if local analysts benefit from informal, on-the-ground information.

Economic message: Public disclosure and international exposure level the playing field between local and foreign analysts.

Table 6
Local analyst advantage and firm-level information environment

This table presents ordinary least squares regression estimates of forecast accuracy on a dummy variable for local analysts, on analyst, firm, and forecast characteristics, and on variables that proxy for the firm-level information environment. Four proxies for the firm-level information environment are used: a dummy for S&P's Transparency and Disclosure score (equal to one if S&P's Transparency and Disclosure score is above the median score of sample firms), a dummy that equals one for firms with an ADR program, a dummy for analyst following (equals one if the number of analysts following the sample firm that year is above the median number of analysts following firms in the firm's country that year), and a dummy for foreign assets (equals one if the disclosed foreign assets segment is positive). The dependent variable (Pnafepr) is computed as $(AFEP_{it} - \text{avg}AFEP_{jt}) / \text{avg}AFEP_{jt}$ where $AFEP_{it}$ is the absolute forecast error by analyst i for firm j at time t scaled by the latest available monthly stock price and $\text{avg}AFEP_{jt}$ is the mean absolute forecast error of all of the forecasts for firm j for fiscal year T . To facilitate interpretation, we multiply this variable by minus one, so that higher values of the dependent variable imply more accurate forecasts. All variables are defined in Table 2. Independent variables are demeaned by the firm/year averages to reduce heteroskedasticity. T -statistics adjusted for firm-level clustering are in parentheses.

Variables	(1)	(2)	(3)	(4)
Dummy for local analysts (a)	0.068 (3.88)	0.067 (4.50)	0.046 (3.08)	0.064 (4.53)
Dummy for transparency (b)	0.011 (0.80)			
(a)*(b)	-0.037 (-1.67)			
Dummy for ADR firm (c)		0.017 (1.28)		
(a)*(c)		-0.028 (-1.74)		
Dummy for analyst following (d)			0.002 (0.15)	
(a)*(d)			0.002 (0.11)	
Dummy for foreign assets (e)				0.015 (1.00)
(a)*(e)				-0.046 (-2.00)
Broker size	0.007 (1.33)	0.007 (1.32)	0.007 (1.28)	0.008 (1.44)
Forecast horizon	-0.572 (-15.61)	-0.572 (-15.64)	-0.572 (-15.62)	-0.572 (-15.61)
Number of industries covered	0.000 (0.11)	0.000 (0.13)	0.000 (0.11)	0.000 (0.20)
Firm-specific experience	0.007 (1.98)	0.007 (1.97)	0.007 (1.93)	0.007 (1.93)
Career experience	-0.009 (-3.81)	-0.009 (-3.80)	-0.009 (-3.81)	-0.009 (-3.74)
Firm size	0.015 (4.68)	0.015 (4.61)	0.014 (4.15)	0.014 (4.51)
Constant	-0.126 (-4.18)	-0.128 (-4.25)	-0.110 (-3.61)	-0.117 (-3.90)
Number of observations	20,221	20,221	20,221	20,221
Adjusted R^2	0.043	0.043	0.043	0.044

Table 6: Local analyst advantage and firm-level information environment.

Table 7
Local analyst advantage and country characteristics

This table presents ordinary least squares regression estimates of forecast error on a local analyst dummy, on analyst, firm, and forecast characteristics, and on country characteristics. Country characteristic variables include variables related to culture, degree of economic and financial development, degree of foreign portfolio investment, degree of investor protection, transparency and disclosure, and private information acquisition and communication. The dependent variable (Pnafepr) is computed as $(AFEP_{it} - \text{avg}AFEP_{jt}) / \text{avg}AFEP_{jt}$ where $AFEP_{it}$ is the absolute forecast error by analyst i for firm j at time t scaled by the latest available monthly stock price and $\text{avg}AFEP_{jt}$ is the mean absolute forecast error of all of the forecasts for firm j for fiscal year T . To facilitate interpretation, we multiply this variable by minus one, so that higher values of dependent variable imply more accurate forecasts. All country characteristic variables are defined in Table 2. The regressions include the same control variables as in Table 5 and are not reported for brevity. T -statistics adjusted for firm-level clustering are in parentheses.

Model	Country characteristics	Local dummy	Country Characteristic variable	Local dummy x Country Characteristic variable	Number of observations	Adjusted R^2
(1)	English language	0.065 (4.55)	-0.005 (-0.29)	-0.032 (-1.22)	20,221	0.044
(2)	GDP per capita	0.076 (3.79)	0.021 (1.55)	-0.039 (-1.64)	19,741	0.039
(3)	Developed market	0.063 (2.80)	-0.009 (-0.54)	-0.019 (-0.72)	20,221	0.043
(4)	Equity market	0.070 (3.57)	0.017 (1.22)	-0.034 (-1.39)	19,175	0.044
(5)	State ownership	0.030 (1.83)	-0.008 (-0.59)	0.044 (1.77)	15,110	0.045
(6)	Foreign bank ownership	0.089 (4.09)	0.010 (0.59)	-0.035 (-1.05)	8,785	0.050
(7)	Ownership concentration	0.033 (2.22)	-0.011 (-0.79)	0.050 (2.22)	20,013	0.044
(8)	Pooled investment	0.121 (4.50)	0.043 (3.05)	-0.100 (-3.29)	16,141	0.029
(9)	Legal origin	0.032 (1.61)	0.000 (0.01)	0.033 (1.32)	20,221	0.044
(10)	Anti-director rights	0.041 (3.32)	-0.004 (-0.22)	0.027 (1.09)	20,221	0.043
(11)	Property rights	0.078 (3.96)	0.019 (1.44)	-0.040 (-1.71)	20,013	0.043
(12)	Public enforcement	0.071 (3.99)	-0.002 (-0.13)	-0.031 (-1.31)	20,013	0.044
(13)	Class action	0.083 (5.22)	0.012 (0.89)	-0.055 (-2.46)	20,013	0.044
(14)	Insider trading enforcement	0.068 (2.97)	0.015 (1.07)	-0.027 (-1.04)	19,854	0.043
(15)	Earnings management	0.023 (1.44)	-0.027 (-1.88)	0.070 (3.09)	19,175	0.044
(16)	CIFAR	0.088 (5.24)	0.022 (1.62)	-0.062 (-2.77)	19,854	0.043
(17)	R^2_{Moscow}	0.032 (2.25)	-0.034 (-2.37)	0.059 (2.54)	18,746	0.044

Table 7: Local analyst advantage and country characteristics.

7.7 Table 7: Local analyst advantage and country characteristics

Read:

- The local advantage is lower in countries with more pooled investment and stronger class-action mechanisms.
- It is lower where financial disclosure is better, as measured by CIFAR.
- It is higher where earnings management is greater and where market returns explain more of individual returns, indicating less firm-specific information in prices.
- Some legal and economic-development variables are insignificant.

Detailed interpretation: Table 7 shows that the local advantage is strongest where public information is weaker and ownership is more concentrated. The CIFAR and Morck R^2 results are especially important because they link the advantage to disclosure and firm-specific information incorporation.

Economic message: Local analysts are most valuable where public-market information is least informative.

7.8 Table 8: Foreign investors and local analyst advantage

Read:

- The local advantage is lower in more open markets and in countries with more U.S. holdings or U.S. flows.
- The foreign analyst ratio does not reduce the local advantage.
- The local advantage is positively related to DIFF, the degree to which U.S. investors underweight a country relative to the world float portfolio.
- When WORLD RATIO and DIFF are both included, DIFF is the stronger and more significant predictor.

Detailed interpretation: Table 8 distinguishes two stories. A demand story says home bias causes fewer foreign analyst resources and therefore a local advantage. An information-asymmetry story says the same information frictions create both local analyst advantage and home bias. The DIFF results support the latter interpretation more strongly.

Economic message: Local information asymmetry appears to be connected to international home bias.

Table 8
Foreign investors and local analyst advantage

Ordinary least squares regression estimates of forecast error on a local analyst dummy, on analyst, firm, and forecast characteristics, and on proxies for foreign investment. Variables that proxy for the degree of foreign investment and demand for analyst services by foreign investors include (1) a dummy that takes the value one if a country's openness score is greater than the median of the sample countries (openness dummy), (2) the openness score defined as the ratio of the market capitalization of the constituent firms comprising the IFC Investable index to those that comprise the IFC Global index for each country, (3) the ratio of the number of foreign analysts to the total number of analysts that are active in the firm's country, (4) a dummy variable that takes value one if a country's U.S. holdings of equity and debt scaled by local market GDP is greater than the median of the sample countries (U.S. holdings), (5) a dummy variable that takes the value one if a country's U.S. flow of equity and debt scaled by local market GDP is greater than the median of the sample countries (U.S. flow), (6) the fraction of the equity market capitalization held by U.S. investors (U.S. equity), (7) the share of a country's equities in the portfolio of U.S. investors (U.S. portfolio), (8) the country's share in the world market portfolio (WORLD RATIO), (9) the difference between a country's share in the world market portfolio and the country's share in the portfolio of U.S. investors (DIFF), and (10) WORLD RATIO and DIFF. The dependent variable (Pnaifep) is computed as $Pnaifep_j = (AFEP_j - avgAFEP_j) / avgAFEP_j$ where $AFEP_j$ is the absolute forecast error by analyst i for firm j at time t scaled by the latest available monthly stock price and $avgAFEP_j$ is the mean absolute forecast error of all of the forecasts for firm j for fiscal year T . To facilitate interpretation, we multiply this variable by minus one, so that higher values of dependent variable imply more accurate forecasts. All country characteristic variables are defined in Table 2. The regressions include the same control variables as in Table 5 and are not reported for brevity. T-statistics adjusted for firm-level clustering are in parentheses.

Model	Country characteristics that proxy for foreign investment	Local dummy	Country Characteristic	Local dummy * Country Characteristic	Number of observations	Adjusted R^2
(1)	Openness dummy	0.089 (4.07)	0.030 (1.80)	-0.053 (-2.09)	19,533	0.039
(2)	Openness level	0.107 (2.92)	0.029 (1.05)	-0.066 (-1.63)	19,533	0.039
(3)	Foreign analysts ratio	0.058 (2.39)	0.060 (1.98)	0.024 (0.52)	20,221	0.044
(4)	U.S. holdings	0.101 (5.78)	0.044 (3.19)	-0.077 (-3.49)	20,221	0.044
(5)	U.S. flows	0.093 (4.55)	0.031 (2.34)	-0.060 (-2.51)	19,741	0.039
(6)	U.S. equity	0.084 (4.94)	0.001 (2.81)	-0.002 (-2.86)	20,221	0.044
(7)	U.S. portfolio	0.079 (5.11)	0.000 (0.12)	-0.002 (-2.06)	20,221	0.044
(8)	WORLD RATIO	0.076 (4.79)	-0.000 (-0.47)	-0.002 (-1.57)	20,221	0.044
(9)	DIFF	0.053 (4.79)	-0.010 (-2.31)	0.018 (2.93)	20,221	0.044
(10)	WORLD RATIO	0.073 (4.59)	-0.001 (-0.83)	-0.001 (-1.01)	20,221	0.045
	DIFF		-0.010 (-2.32)	0.014 (2.17)		

hence it would appear that there is a local advantage. In the remainder of this section, we provide tests that

Table 8: Foreign investors and local analyst advantage.

7.9 Table 9: Robustness tests

Read:

Table 9
Robustness tests

The table presents the results of robustness tests using different proxies for forecast accuracies and different samples. Models (1) through (3) use alternative proxies for forecast errors as dependent variables. Model (1) uses 'Pnaife' as the dependent variable, Model (2) 'Dnaifp', and Model (3) 'Range'. All variables are defined in Table 2 and rescaled such that higher values indicate more accurate forecasts. Model (4) is estimated for the sample that does not impose the restriction that a firm is followed by both local and foreign analysts. Model (5) is estimated for the sample that contains all the annual earnings forecasts that analysts provide for the firms they cover over 2001-2003. Model (6) adds additional control variables that could affect forecast accuracy. Independent variables are de-meaned by the firm/year averages to reduce heteroskedasticity. All models are estimated with ordinary least squares regressions except Model (3) which uses random effect regression at the firm level. T-statistics adjusted for firm-level clustering are in parentheses.

	(1)	(2)	(3)	(4)	(5)	(6)
<i>Dummy for local analysts</i>	0.065 (5.17)	0.001 (3.03)	0.010 (2.02)	0.061 (5.73)	0.021 (2.52)	0.068 (5.37)
<i>Broker size</i>	0.008 (1.30)	0.000 (1.39)	0.004 (1.86)	0.011 (1.88)	0.295 (0.76)	0.010 (1.53)
<i>Forecast horizon</i>	-0.834 (-19.87)	-0.009 (-6.80)	-0.223 (-26.81)	-0.696 (-18.12)	-0.679 (-25.48)	-0.624 (-14.65)
<i>Number of industries covered</i>	0.000 (0.03)	-0.000 (-0.16)	-0.000 (-0.10)	0.002 (0.90)	-0.311 (-2.23)	0.000 (0.08)
<i>Firm-specific experience</i>	0.010 (2.26)	-0.000 (-0.45)	0.003 (1.96)	0.008 (2.10)	1.009 (4.01)	0.008 (1.80)
<i>Career experience</i>	-0.009 (-3.15)	-0.000 (-0.91)	-0.003 (-3.44)	-0.009 (-3.40)	-0.533 (-2.70)	-0.009 (-3.08)
<i>Firm size</i>	0.002 (1.70)	0.000 (4.51)	0.019 (8.26)	0.011 (7.49)	0.005 (2.26)	0.012 (7.28)
<i>Number of forecasts made</i>						0.001 (2.08)
<i>Number of firms covered</i>						-0.001 (-0.50)
<i>Number of countries covered</i>						-0.002 (-0.50)
<i>Constant</i>	-0.052 (-3.50)	-0.004 (-4.69)	0.456 (21.73)	-0.132 (-7.93)	-0.009 (-0.41)	-0.147 (-7.83)
<i>Number of observations</i>	20,258	20,425	20,425	25,874	63,617	20,425
<i>Adjusted R^2</i>	0.070	0.010	0.037	0.048	0.101	0.041

Table 9: Robustness tests.

- The local dummy remains positive and significant using alternative accuracy measures: Pmafe, Dafep, and Range.
- The local advantage remains in samples that include firms covered by only one analyst type.
- The result remains when all analyst forecasts are included instead of only the latest forecast.
- Adding number of forecasts, firms covered, and countries covered does not remove the local advantage.

Detailed interpretation: Table 9 is the robustness table. The local advantage is not an artifact of the main accuracy definition, sample restriction, or latest-forecast selection. It also survives richer analyst workload controls.

Economic message: The evidence for a local analyst advantage is robust across alternative measurement and sample choices.

8 Result map

- **Baseline fact.** Local analysts have more precise forecasts than foreign analysts.
- **Analyst-quality controls.** The advantage remains after controlling for analyst experience, brokerage size, industry/country coverage, and fixed effects.
- **Brokerage-location separation.** Pure local and expatriate analysts both outperform foreign analysts, so physical location matters more than local brokerage affiliation.
- **Firm information environment.** Transparency, ADR status, and foreign assets reduce the local advantage.
- **Country information environment.** Disclosure quality, institutional ownership, and stock-price informativeness reduce the local advantage; earnings management and high market-model R^2 increase it.
- **Home bias link.** Countries more underweighted by U.S. investors have larger local analyst advantages.
- **Robustness.** Results persist across alternative accuracy measures and samples.

9 Short summary

- The paper asks whether analysts located in a firm’s country make more accurate forecasts than analysts located elsewhere.
- It uses non-U.S. I/B/E/S forecasts, Nelson analyst-location data, and S&P transparency data for 611 firms in 32 countries during 2001–2003.
- Local analysts are more accurate than foreign analysts.
- The result survives analyst and firm controls, matched forecasts, firm fixed effects, analyst fixed effects, and switcher tests.
- Pure local and expatriate analysts both have a local advantage.
- The local advantage is weaker for transparent firms, ADR firms, and firms with foreign assets.
- The local advantage is stronger where accounting quality is worse, earnings management is higher, and stock prices contain less firm-specific information.
- The local advantage is related to U.S. home bias: countries more underweighted by U.S. investors have stronger local advantages.
- The main lesson is that geography still matters for information production in global equity markets.

10 Conclusion

10.1 Core conclusion

Bae, Stulz, and Tan show that analysts resident in the same country as a firm forecast earnings more accurately than analysts located abroad. The result is robust across forecast-accuracy measures, firm and analyst controls, analyst fixed effects, and sample definitions.

10.2 Economic intuition

Local analysts can gather soft information through proximity: face-to-face meetings, local language and context, observation of customers and suppliers, familiarity with local institutions, and informal networks. Foreign analysts may have better global resources, but those resources do not fully offset local informational advantages.

10.3 Incremental contribution revisited

The paper contributes by directly measuring information quality using analyst forecast precision, rather than inferring information from investor holdings or trading performance. It also links analyst geography to disclosure quality and international portfolio home bias, showing that local information advantages are strongest where public information is weak and foreign investors underweight the market.

10.4 Implications

- **For investors:** local research may be particularly valuable in opaque markets.
- **For firms:** better disclosure reduces dependence on local information networks and improves access to foreign analysts and investors.
- **For market integration:** financial globalization is limited when distance and disclosure frictions keep information segmented.
- **For home-bias theory:** local information advantages can be one microfoundation for international underinvestment.

10.5 Limitations

The sample focuses on large firms with both local and foreign coverage, so the total local advantage across all firms may be larger. The paper cannot directly observe the channels of information acquisition, and some demand-side effects for analyst services cannot be completely ruled out.

10.6 Takeaway

The central takeaway is that geography remains economically important in information production. Better disclosure and more open markets can reduce local advantages, but local analysts still possess information advantages where public information is weak.